



E-commerce Business Models and Concepts

E-commerce Business Models

- ▶ **Business model:**

- ▶ Set of planned activities designed to result in a profit in a marketplace. The business model is at the center of the business plan.

- ▶ **Business plan:**

- ▶ A **business plan** is a document that describes a firm's business model.

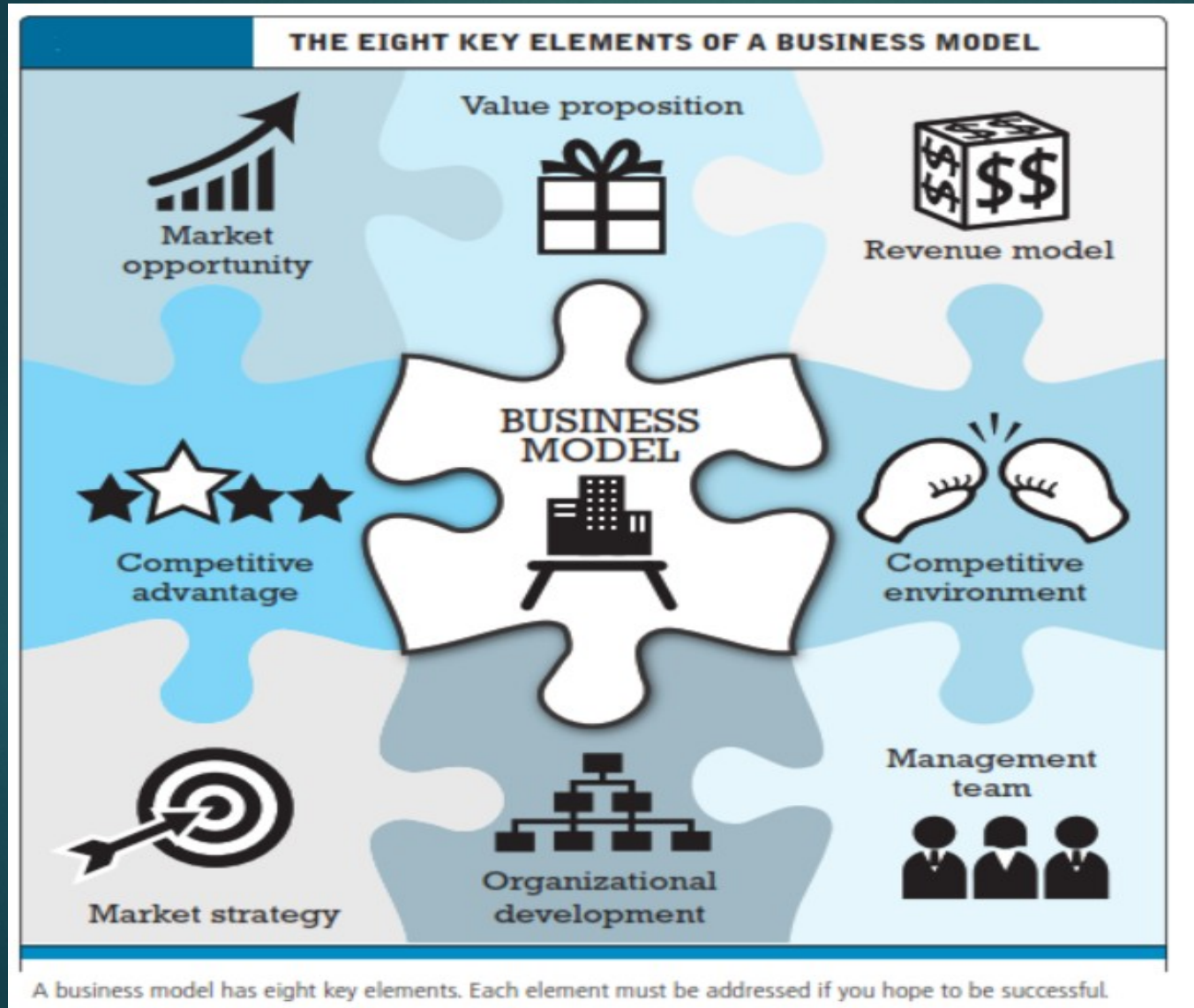
- ▶ **E-commerce business model:**

- ▶ An **e-commerce business model** aims to use and leverage the unique qualities of the Internet, the Web, and the mobile platform.

Eight Key Elements of a Business Model

- ❖ Value proposition
- ❖ Revenue model
- ❖ Market opportunity
- ❖ Competitive environment
- ❖ Competitive advantage
- ❖ Market strategy
- ❖ Organizational development
- ❖ Management team

Eight Key Elements of a Business Model



Key Elements of a Business Model

KEY ELEMENTS OF A BUSINESS MODEL

COMPONENTS

KEY QUESTIONS

Value proposition

Why should the customer buy from you?

Revenue model

How will you earn money?

Market opportunity

What marketplace do you intend to serve, and what is its size?

Competitive environment

Who else occupies your intended marketplace?

Competitive advantage

What special advantages does your firm bring to the marketplace?

Market strategy

How do you plan to promote your products or services to attract your target audience?

Organizational development

What types of organizational structures within the firm are necessary to carry out the business plan?

Management team

What kinds of experiences and background are important for the company's leaders to have?

Value Proposition

- ▶ How does the product or service fulfill customer needs
- ▶ E-commerce value propositions:
 - ▶ Personalization/customization
 - ▶ Convenience
 - ▶ Price/No shipping cost
 - ▶ Quick delivery
 - ▶ Unparalleled Selection
 - ▶ Product/service quality

Value Proposition

Amazon's Value Propositions Fulfilled:

- ▶ **Personalization/Customization:** When Sarah logs in, Amazon shows headphone recommendations based on her previous searches and purchases.
- ▶ **Convenience:** She can browse thousands of headphones, read reviews, compare prices, and place an order — all from her phone.
- ▶ **Price/No Shipping Cost:** Sarah finds a deal with a discount and sees that her **Prime membership** offers **free shipping**.
- ▶ **Quick Delivery:** Amazon guarantees **next-day delivery**, which is perfect since she has a meeting in two days.
- ▶ **Unparalleled Selection:** Sarah chooses from **multiple brands**, colors, and features — all in one place.
- ▶ **Product/Service Quality** She checks **verified buyer reviews** and ratings to ensure the product meets her expectations.

Revenue Model

- ▶ How will the company earn money
- ▶ Major types of revenue models:
 - ▶ Advertising revenue model- Facebook
 - ▶ Subscription revenue model –Anti virus, Consumer Reports, Wall Street News Subscription, Online Dating
 - ▶ Transaction fee revenue model- ebay, E-trade, Credit cards
 - ▶ Sales revenue model – AmazonMP3, Amazon, Gap
 - ▶ Affiliate revenue model – airlines/car rentals/hotels

Some Subscription Services

EXAMPLES OF SUBSCRIPTION SERVICES

NAME	DESCRIPTION
eHarmony.co.uk (dating)	• Free: Create profile and view profiles of matches • Basic (see photos, send and receive messages): £18.95 a month for 6 months; £9.95 a month for 1 year • Total Connect (Basic plus additional services): £19.95 a month for 6 months; £12.95 a month for 1 year
Ancestry.co.uk (genealogical research)	• Essentials (key UK census records only): £10.99 for 1 month; £54.99 for 6 months • Worldwide (UK, Ireland, and all international records): £19.99 for 1 month; £99.99 for 6 months
Kindle Unlimited UK (e-books)	• Unlimited books for £7.99/month (over 1 million from which to choose)
Spotify (music)	• Many different permutations, depending on device (mobile, tablet, or desktop) and plan chosen (Free, Unlimited, or Premium)

Five Primary Revenue Models

FIVE PRIMARY REVENUE MODELS

REVENUE MODEL

EXAMPLES

REVENUE SOURCE

Advertising

Yahoo
Facebook

Fees from advertisers in exchange for advertisements

Subscription

eHarmony
The Economist
Netflix

Fees from subscribers in exchange for access to content or services

Transaction Fee

eBay
E*Trade

Fees (commissions) for enabling or executing a transaction

Sales

Amazon
ASOS
Birchbox
iTunes

Sales of goods, information, or services

Affiliate

MyPoints

Fees for business referrals

Market Opportunity

- ▶ The intended Marketspace of the company
 - ▶ Marketspace: Area of actual or potential commercial value in which company intends to operate
 - ▶ Realistic market opportunity: Defined by revenue potential in each market niche in which company hopes to compete
- ▶ Market opportunity typically divided into smaller niches

Competitive Environment

- ▶ Who else occupies your intended marketspace?”
 - ▶ Other companies selling similar products in the same marketspace
 - ▶ New entrants into market, substitute products, and power of consumers and suppliers (nature of competition)
 - ▶ Includes both direct and indirect competitors.
- ▶ Influenced by:
 - ▶ Number and size of active competitors
 - ▶ Each competitor's market share
 - ▶ Competitors' profitability
 - ▶ Competitors' pricing

Competitive Advantage

- ▶ Firms achieve a **competitive advantage** when they can produce a superior product and/or bring the product to market at a lower price than most, or all, of their competitors.
- ▶ Important concepts:
 - ▶ Asymmetries exist when one competitor has more resources or differential access to them compared to other competitors
 - ▶ First-mover advantage
 - ▶ Unfair competitive advantage results from factors of production that are hard to duplicate or acquire (brands, natural resources, capital investments)
 - ▶ Leverage using vast resources to move in other markets – leveraging a large customer base, or lots of money (Apple car)
 - ▶ Perfect markets do not allow for competitive advantage as all firms have equal access to all factors of production

Market Strategy

- ▶ How do you plan to promote your products or services to attract the target audience
 - ▶ Details how a company intends to enter market and attract customers
 - ▶ Best business concepts will fail if not properly marketed to potential customers -IBM OS 2

Organizational Development

- ▶ The types of organizational structures within the firm necessary to carry out the business plan
- ▶ Describes how firm will organize work
 - ▶ Typically, divided into functional departments, some organize around products, combination of both (auto manufacturers)
 - ▶ As company grows, hiring moves from generalists to specialists

Management Team

- ▶ “What kind of backgrounds should the company’s leaders have?”
- ▶ A strong management team:
 - ▶ Make the business model work
 - ▶ Give credibility to outside investors
 - ▶ Has market-specific knowledge
 - ▶ Has experience in implementing business plans

Raising Capital

- ▶ **Seed capital** personal funds used to start business
- ▶ **Traditional sources**
 - ▶ Incubators provide small amount of funding and provide services to start-ups
 - ▶ Commercial banks
 - ▶ Angel investors wealthy investors who invest money in exchange for equity share of the business (Shark tank☹)
 - ▶ Venture capital firms invest funds they manage for other investors
 - ▶ Strategic partners
- ▶ **Crowdfunding**
 - ▶ Using internet to allow individuals to contribute to new ventures

Crowdfunding Takes Off

- ▶ What types of projects and companies might be able to most successfully use crowdfunding?
- ▶ Are there any negative aspects to crowdfunding?
- ▶ What obstacles are presented in the use of crowdfunding as a method to fund start-ups?

Categorizing E-commerce Business Models

- ▶ No one correct way (explained on upcoming slides)
- ▶ The book categorizes them based on:
 - ▶ E-commerce sectors (B2B, and B2C)
 - ▶ E-commerce technology (e.g., m-commerce)
- ▶ Similar business models appear in more than one sector
- ▶ Some companies use multiple business models (e.g., eBay, Amazon)

B2C Business Models

- ▶ E-tailer
- ▶ Community providers create communities for like minded people (social networks eg. Facebook)
- ▶ Content provider disseminate info (CNN, ESPN etc)
- ▶ Portal enable searching to provide info (Yahoo, Google)
- ▶ Transaction broker (E*TRADE, Hotels.com, Travelocity)
- ▶ Market creator creates market spaces (Ebay, Amazon)
- ▶ Service provider (Gmail, Verizon, PayPal, VisaNow.com)

B2C Models: E-tailer

- ▶ Online version of traditional retailer (Walmart, Macys)
- ▶ Revenue model: Sales
- ▶ Variations:
 - ▶ Virtual merchant (online bank)
 - ▶ Bricks-and-clicks
 - ▶ Catalog merchant (home shopping network)
 - ▶ Sells large variety of household and personal products
 - ▶ Manufacturer-direct
- ▶ Low barriers to entry

B2C Models: Community Provider

- ▶ Provide online environment (social network) where people with similar interests can transact, share content, and communicate
 - ▶ Examples: Facebook, LinkedIn, Twitter, Pinterest
- ▶ Revenue models:
 - ▶ Typically hybrid, combining advertising, subscriptions, sales, transaction fees, and so on

B2C Models: Content Provider

- ▶ Digital content on the Web:
 - ▶ News, music, video, text, artwork
- ▶ Revenue models:
 - ▶ Subscription; pay per download (micropayment); advertising; affiliate referral
- ▶ Variations:
 - ▶ Syndication- firm does not own material just distributes it (newspaper horoscopes and crossword puzzles are **syndicated** content)
 - ▶ Web aggregators (shopping.com, Travelocity, Priceline) aggregate info and add value to it

Battle of the Titans: Music in the Cloud

- ▶ Have you purchased music online or subscribed to a music service? What was your experience?
- ▶ What revenue models do cloud music services use?
- ▶ Do cloud music services provide a clear advantage over download and subscription services?
- ▶ Of the cloud services from Google, Amazon, and Apple, which would you prefer to use, and why?

B2C Business Models: Portal

- ▶ Searching capability plus an integrated package of content and services
- ▶ Revenue models:
 - ▶ Advertising, referral fees, transaction fees, subscriptions
- ▶ Variations:
 - ▶ Horizontal/general includes all internet users
 - ▶ Vertical/specialized (vortal) provides a directory of links to information related to a particular industry or subject matter
 - ▶ Searching capabilities

B2C Models: Transaction Broker

- ▶ Process online transactions for consumers
 - ▶ Primary value proposition—saving time and money, and enabling online transactions (stocks, credit card and PayPal payments)
- ▶ Revenue model:
 - ▶ Transaction fees
- ▶ Industries using this model:
 - ▶ Financial services
 - ▶ Travel services and entertainment
 - ▶ Job placement services

B2C Models: Market Creator

- ▶ Create digital environments where buyers and sellers can meet and transact business
- ▶ Examples:
 - ▶ Priceline
 - ▶ eBay
 - ▶ E*trade
- ▶ Revenue model:
 - ▶ Transaction fees, fees to merchants for access

B2C Models: Service Provider

- ▶ Online services
 - ▶ Example: Google—Google Maps, Gmail, and so on
- ▶ Value proposition
 - ▶ Valuable, convenient, time-saving, low-cost alternatives to traditional service providers
- ▶ Revenue models:
 - ▶ Sales of services, subscription fees, advertising, sale of marketing data

B2B Business Models

- ▶ B2B relies on EDI (electronic data interchange)
- ▶ Net marketplaces (explained in upcoming slides)
 - ▶ E-distributor
 - ▶ E-procurement
 - ▶ Exchange
 - ▶ Industry consortium
- ▶ Private industrial network

B2B Models: E-distributor

- ▶ Version of retail and wholesale store, MRO (explain next slide) goods, and indirect goods
- ▶ Owned by one company seeking to serve many customers
- ▶ Revenue model: Sales of goods
- ▶ Example: Grainger.com

MRO



- ▶ MRO - Maintenance, repair and operations
- ▶ Supplies consumed in the production process but which do not either become part of the end product or are not central to the firm's output. MRO items include consumables (such as cleaning, laboratory, or office supplies), industrial equipment (such as compressors, pumps, valves) and plant upkeep supplies (such as gaskets, lubricants, repair tools), and computers, fixtures, furniture, etc.

B2B Models: E-procurement

- ▶ Creates and sells access to digital markets where participants transact for indirect goods
 - ▶ B2B service providers, application service providers (ASPs)
- ▶ Revenue model:
 - ▶ Service fees, supply-chain management, fulfillment services
- ▶ Example: Ariba- system provides sellers with the ability to manage catalogs, bids, purchases and invoices and provides buyers with the ability to search for suppliers, negotiate savings, procure goods and services and track spending.
- ▶ <http://www.ariba.com/about/our-story>

B2B Models: Exchanges

- ▶ Independently owned vertical digital marketplace where hundreds of suppliers meet a small number of large commercial purchasers
- ▶ Revenue model: Transaction, commission fees
- ▶ Create powerful competition between suppliers
- ▶ Tend to force suppliers into powerful price competition; number of exchanges has dropped dramatically
- ▶ Example, Walmart has the ability to negotiate the best prices in the industry

B2B Models: Industry Consortia

- ▶ Industry-owned vertical digital marketplace open to select suppliers
- ▶ More successful than exchanges
 - ▶ Sponsored by powerful industry players
 - ▶ Strengthen traditional purchasing behavior
- ▶ Revenue model: Transaction, commission fees
- ▶ Example: Exostar used by defense industry - <http://www.exostar.com/Mission/>
- ▶ [ICAMR: International Consortium for Advanced Manufacturing Research](#)

Private Industrial Networks

- ▶ Digital network used to coordinate among firms engaged in business together
- ▶ Represents 75% of B2B business by large firms
- ▶ Often owned by a large network firm
- ▶ Example: Walmart's network for suppliers
- ▶ Cost absorbed by network owner and recovered through production and distribution efficiencies

Difference between Exchange, Consortia, Private Industrial Network

Exchange	Consortia	Private Industrial Network
• Hundreds of suppliers meet small number of large buyers • Generate revenue by a commission or fee based on the size of the transaction • Usually serve a single industry	• Is industry owned • Serves a vertical marketplace	• Coordinate the flow of communications among firms doing business together • Participation is by invitation only • Walmart operates the largest private network

How E-commerce Changes Business

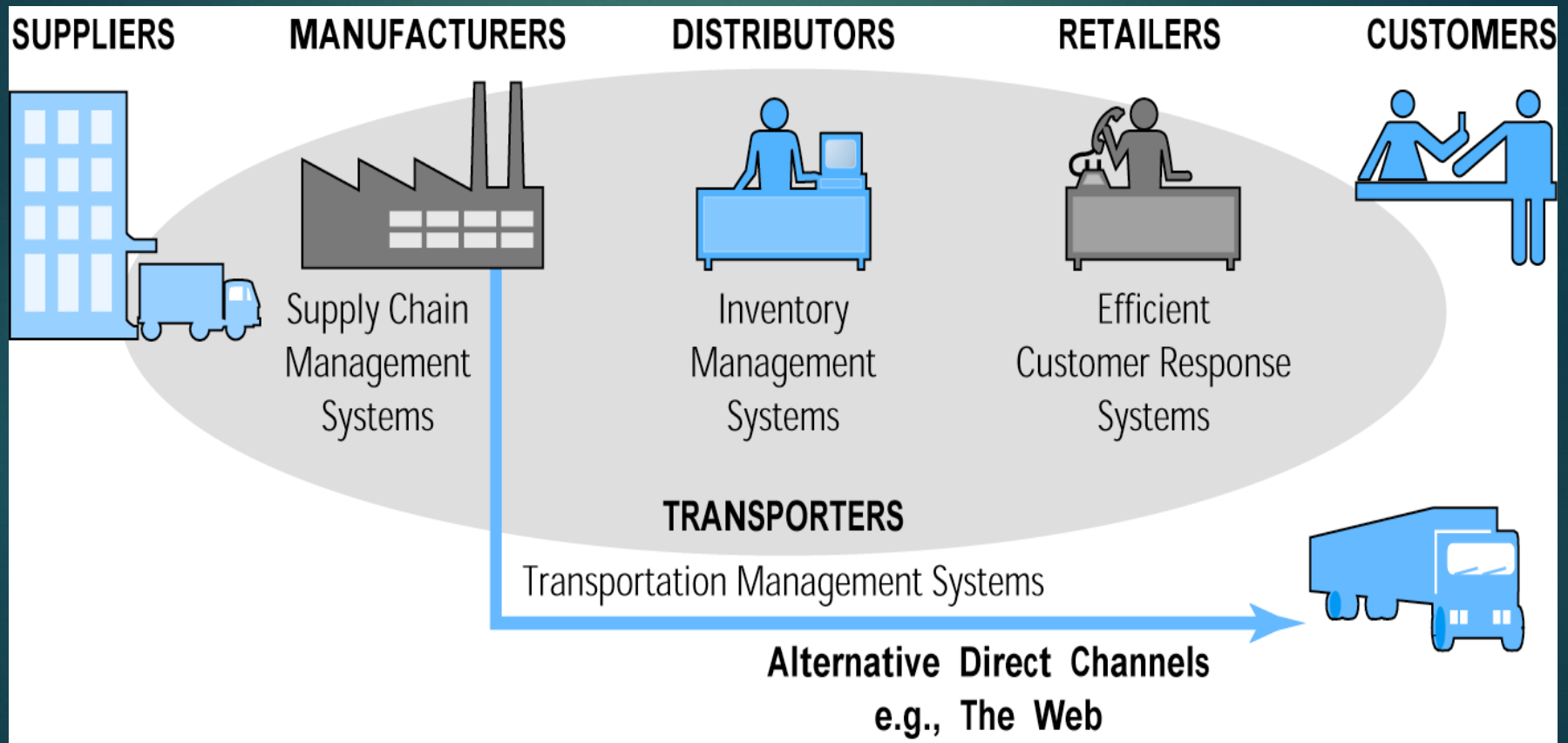
- ▶ E-commerce changes industry structure by changing:
 - ▶ Rivalry among existing competitors
 - ▶ Barriers to entry
 - ▶ Threat of new substitute products
 - ▶ Strength of suppliers
 - ▶ Bargaining power of buyers

Industry Value Chains



- ▶ Set of activities performed by suppliers, manufacturers, transporters, distributors, and retailers that transform raw inputs into final products and services
- ▶ Internet reduces cost of information and other transactional costs
- ▶ Leads to greater operational efficiencies, lowering cost, prices, adding value for customers

E-commerce and Industry Value Chains



Firm Value Chains

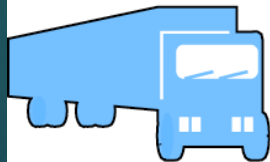
- ▶ Activities that a firm engages in to create final products from raw inputs
- ▶ Each step adds value
- ▶ Effect of Internet:
 - ▶ Increases operational efficiency
 - ▶ Enables product differentiation
 - ▶ Enables precise coordination of steps in chain

E-commerce and Firm Value Chains

Administration
Human Resources
Information Systems
Procurement
Finance/Accounting

SECONDARY ACTIVITIES

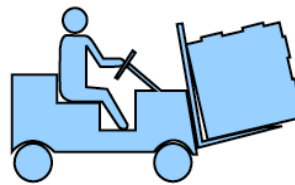
PRIMARY ACTIVITIES



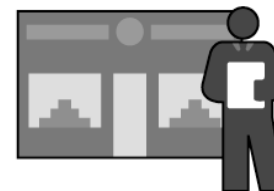
**Inbound
Logistics**



Operations



**Outbound
Logistics**



**Sales and
Marketing**

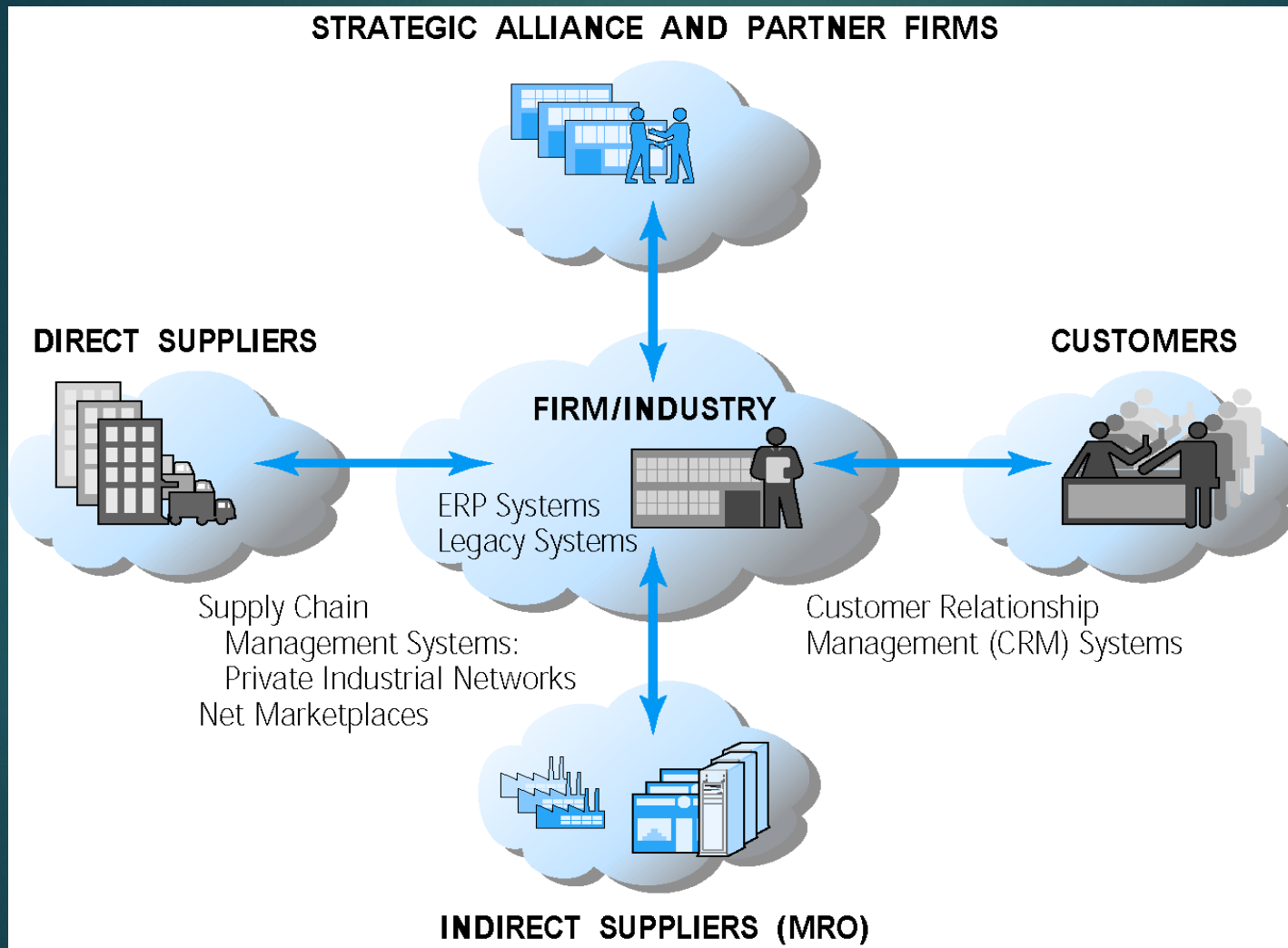


**After Sales
Service**

Firm Value Webs

- ▶ Networked business ecosystem
- ▶ Uses Internet technology to coordinate the value chains of business partners
- ▶ Coordinates a firm's suppliers with its own production needs using an Internet-based supply chain management system

Internet-enabled Value Web



Business Strategy

- ▶ Plan for achieving superior long-term returns on capital invested: that is, profit
- ▶ Five generic strategies
 - ▶ Product/service differentiation
 - ▶ Cost competition
 - ▶ Scope
 - ▶ Focus
 - ▶ Customer intimacy: A marketing strategy where a service supplier or product retailer gets close to customers. The benefits include improved highly tailored problem solving capabilities, greater customization of products to customer needs, as well as higher customer loyalty.